Should Institutional Investors Increase Their Allocation Towards Private Credit?

Cambridge Finance Concentration Project 2025

16th June 2025

Our Team



Amanda Boadi
Non-profit
Breakfast Club of Canada
Canada

Bryan Steinauer
Finance / Audit
EY
Switzerland

Farid Mammadli
Corporate Finance
KPMG
Azerbaijan

Francisco Zubizarreta
Data Science / Analytics
BCG/Santander
Mexico

Juan Carlos
FinTech
Insightful Technology
Spain

Agenda



01 Introduction to Private Credit

02 Research Question & Methodology

03 Why Should Institutional Investors Not Invest in Private Credit?

04 Why Should Institutional Investors Invest in Private Credit?

05 Case Studies

06 Recommendations

07 Tools to Guide Decisions

01

Introduction to Private Credit

What is Private Credit?

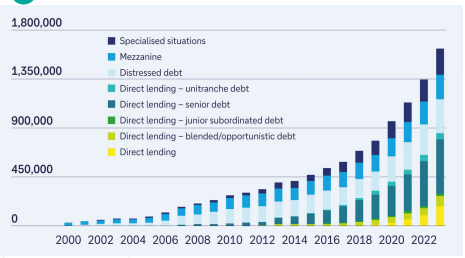
Basic Definitions

Private credit is lending provided from a source **other than a bank**, typically tailored to a borrower's needs.

Private Credit is also known as:
- Private debt
- Direct lending
- Private lending

Private credit originated in the 1980s but grew significantly after the 2008 global financial crisis.

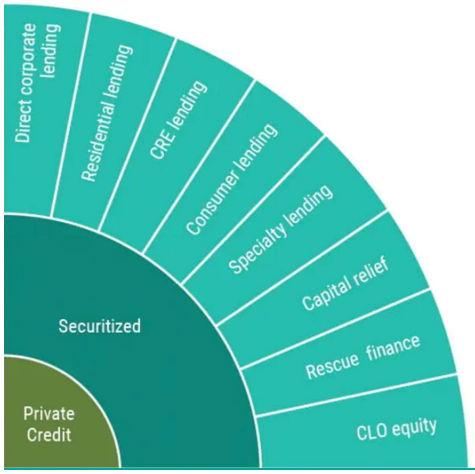
Components of private debt 2000 to 2024 in USD millions



(Source: Preqin, 2024)

Despite limited data availability for estimating market size, the Bank of England estimates a 4-fold rise in private credit up to 1.8 trillion USD from 2015 to 2024. [2]

What Constitutes Private Credit?



Private credit can include:

Commercial Real Estate lending: Lending for income-generating property, often backed by mortgages

Specialty finance: Financing from non-bank lenders direct to consumers and businesses

Rescue Finance: Financing for companies urgently requiring funds to maintain liquidity or avoid default

Collateralised Loan Obligations: portfolios of senior secured loans across multiple industries and issuers

What Makes Private Credit Appealing?

For Lenders

- **Potential diversification** (low correlation against public markets)
- **Inflation & Downside mitigation** via floating interest rates
- **Protection from default and inflation risks** via covenant structure
- **Higher returns** than traditional bank loans and bonds as trade-off for low liquidity

For Borrowers

- Funding for leveraged businesses **unable to obtain traditional bank loans**
- **Customised and flexible** loan terms and structuring
- Simpler, faster, **less resource-intensive process** of securing loans (compared to public markets)
- **Retention of ownership** with **potential long-term partners** supporting growth ambitions

What are Current Trends in Private Credit?

Growth in Large-Scale Financing (500M+)

Larger deals dominate activity, driven by **entrance of large institutional investors** & replacement of syndicated loans in **complex transactions**

Consistent Decline in Smaller Deals (<350 M)

Transactions under $350 million reduced as private credit managers focus on scalable opportunities with higher return potential and institutional backing

Broadening Sector Participation

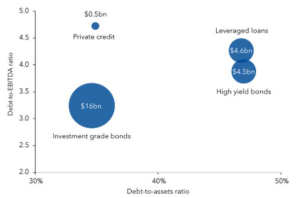
Increasing diversity across healthcare, technology, and industrial sectors tailored to **growth** and acquisition financing

What is the Current Exposure of Private Credit Funds?

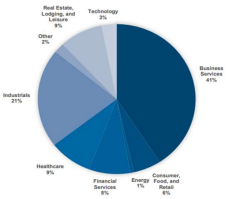
Private credit exhibits higher leverage compared to other forms of debt, with a median **debt-to-EBITDA ratio of 4.6x**

Private credit lenders lend to many different sectors, including sectors with limited assets to underwrite loans (e.g. business services)

Median firm size & leverage by issuer type (N America)



Industry Allocation (Houlian Lokey Example)



Average leverage and industry allocation of private credit funds' investment suggest that private credit funds generally have **greater risk exposure** compared to other forms of debt.

02

Research Question and Methodology

Research Question

Current Average Asset Allocation (Institutional Investors)

0.9% Private Credit

19.6% All Alternatives

> Institutional investors generally decide to invest in private credit vs. other alternative asset classes
>
> **Rajat Rohailla**
> **CEO Emerald Peak Capital Management**
> **CJBS speaker event on 29 May 2025**

Currently, private credit is only a **minor portion** of the alternative investing landscape it is usually benchmarked against.

Should Institutional Investors Increase Their Asset Allocation Towards Private Credit?

Average asset allocation by global institutional investors (Prequin, 2024)

0.9% Private Credit

19.6% All Alternatives

TAKEAWAY: Currently, private credit is only a **minor portion** of the alternative investing landscape it is usually benchmarked against.

"Institutional investors generally decide to invest in private credit vs. other alternative asset classes"
Rajat Rohailla, CEO Emerald Peak Capital Management
CJBS speaker event on 29 May 2025

THE RESEARCH QUESTION: Should Institutional Investors Increase Their Asset Allocation Towards Private Credit?

Research Question and Methodology

Methodology

The team pursued the following steps to answer the research question:

1. **Primary research** *two interviews, three events*
2. **Qualitative analysis** *secondary research on benefits and risks*
3. **Case studies** *examples of successful and underperforming investors*
4. **Recommendations** *synthesis of analysis*
5. **Decision tools** *developed by the team to guide institutional investors*



Research Question and Methodology

Different Opinions on the Attractiveness for Private Credit

Contrasting Perspectives on Private Credit

> We do not invest in private credit and have no intention to start doing so.
>
> **Interviewee 1**
> **Investment Manager**
> **Large Academic Investment Fund**

> Institutional investors' asset allocation to private credit can only increase.
>
> **Interviewee 2**
> **Portfolio Manager**
> **Private Credit Fund with USD >10 billion AUM**

Takeaway: institutional investors are divided on private credit.

This warrants a case for and a case against.

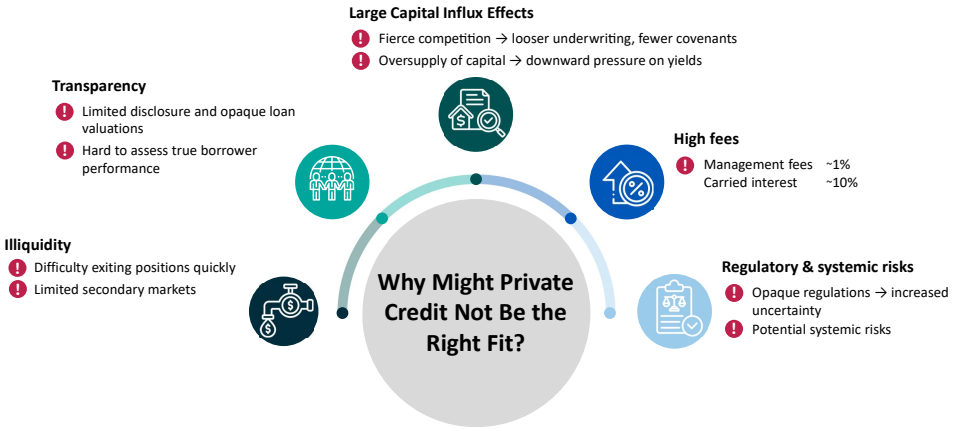
03

Why Should Institutional Investors Not Invest in Private Credit?

Private Credit: Investment Constraints & Risks

The Case against Private Credit

Key Considerations for Institutional Allocators



Private Credit: Investment Constraints & Risks

Risk Summary in Private Credit

Summary of Risk Tiers based on Market Research and Analysis

High risk	4 risks	➢ Liquidity risk ➢ Credit (default and recovery) risk ➢ Macroeconomic sensitivity ➢ Transparency & Valuation Subjectivity
Medium risk	5 risks	➢ Systemic / Contagion Risk ➢ Deployment risk ➢ Regulatory risk ➢ Concentration risk ➢ Benchmarking & Performance
Low risk	2 risks	➢ Sourcing / Selection Bias ➢ Reputational / ESG Risk

Private Credit: Investment Constraints & Risks

Institutional Risk Exposure in Private Credit Markets (1/2)

Key Risk Factors Shaping Institutional Decisions

Risk	Definition and Description	Risk Tier	Sources
Liquidity	➢ Hard to exit or sell positions quickly when needed ➢ Main concern of most institutional investors	*High*	➢ Bank of England ➢ Federal Reserve System
Credit	➢ Default of borrower and uncertain recovery value ➢ Capital surplus leading to overleveraging by risky borrowers	*High*	➢ JP Morgan
Macroeconomic sensitivity	➢ Loans vulnerable to rate hikes or recession. ➢ PE slowdown amid economic uncertainty → decrease in PC returns	*High*	➢ Wall Street Journal
Transparency & Valuation Subjectivity	➢ Limited reporting ➢ Models may mask true value	*High*	➢ FTI Consulting
Regulatory	➢ Policy changes may restrict allocations or increase capital requirements	*Medium*	➢ Oliver Wyman

Private Credit: Investment Constraints & Risks

Institutional Risk Exposure in Private Credit Markets (2/2)

Others Risk Factors Shaping Institutional Decisions

Risk	Definition and Description	Risk Tier	Sources
Deployment	➢ Risk that committed capital isn't used due to lack of deals	*Medium*	➤ Reuters
Systemic / Contagion	➢ PC's reliance on banks → systemic liquidity risk to the banking sector	*Medium*	➤ Federal Reserve Bank of Boston ➤ Financial Times ➤ IMF
Concentration	➢ Overexposure to a single borrower, sector, or region	*Medium*	➤ Rothschild & Co ➤ UBS
Benchmarking & Performance	➢ No standardised benchmark for private credit ➢ IRRs may hide risk/return profile or timing distortion	*Medium*	➤ Cambridge Associates
Sourcing / Selection Bias	➢ Not all managers have equal access to high-quality deals ➢ Track records may reflect cherry-picked deals	*Low*	➤ Blackrock ➤ GCM Grosvenor
Reputational / ESG	➢ Lending to businesses with poor governance ➢ Lack of ESG integration in underwriting processes	*Low*	➤ S&P Global

04

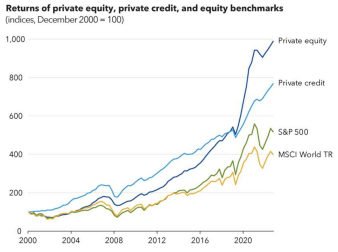
Why Should Institutional Investors Invest in Private Credit?

Private Credit: Investment Opportunities & Benefits

The Case for Private Credit

Opportunities

Comparable returns to private equity
Since 2000, private credit has achieved similar returns as private equity



Clearer exit strategy
IPOs, a key exit route for are drying up

U.S. IPO Value (USD, excluding SPACs)
74.4B (2014)
23.7B (2024)

Better liquidity
Shorter fund lifespans

Average Fund Lifespan
8 years Private Credit
10 years Private Equity

Main Takeaway

Attractive position versus private equity, the main competitor within alternative investing

Evidence for Effective Credit Risk Mitigation

Opportunities

Better underwriting
Most loans now are first-lien secured

First-lien secured loans
26.7% (2013)
85.7% (2023)

PE backing
PE funds often back struggling investees

PE-sponsored loans
72% North America
77% Europe

> Unlike banks, private credit funds can be flexible and utilise a wide range of assets to underwrite loans.
>
> **Interviewee 2**
> **Portfolio Manager**
> **Private Credit Fund with USD >10 billion AUM**

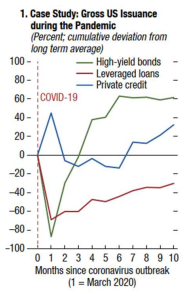
PC has significantly lower default rates than high-yield bonds

Average annual credit loss
1.5% HY bonds
0.9% Private credit

Limited Macroeconomic Sensitivity and Systemic Risk

Opportunities

Limited procyclicality
No collapse in issuance during the COVID pandemic



Lower exposure
Traditional banks far less exposed to private credit now than to mortgage pre-financial crisis in 2007

Large U.S. banks' exposure, as % of equity
87% (Mortgage-backed-securities, 2007)
13% (Private credit, 2024)

No significant secondaries markets exist for PC, reducing interconnectedness and potential systemic knock-on effects

> At present, the financial stability risks posed by private credit appear contained.
>
> **International Monetary Fund**
> **Global Financial Stability Report, April 2024**

Opportunities to Mitigate Risks and Grow Private Credit

Private Credit Market

Risk mitigation opportunities

- any asset can be used to under-write loans
- regulators work to increase transparency
- self-regulation by industry leaders (e.g. Cliff Water)

Growth opportunities

- liquidity with ETFs and evergreen funds
- small loans under USD 10M
- new geographies

Declining relative dry powder
Highlighting new opportunities

Dry Powder as % of AUM
41.6% (2013)
29.3% (2023)

Takeaway

Attractive investment opportunities continue to be found in private credit

05

Case Studies

Sacramento County Employees' Retirement System (SCERS)

Overview

Strategy

Overview
A public pension fund for beneficiaries of Sacramento County

Philosophy
Aims to achieve its financial objectives through prudent investment management

Strategy
Heavily diversified public and private asset allocation strategy, long-term returns to meet retirement liabilities

Stats – Q1 2025

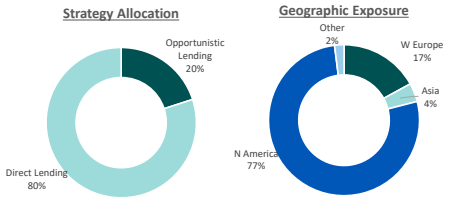
Quarter Return	0.9%
1 Year Return	6.3%
10 Year Ann Ret	7.6%
Private Credit Allocation	5.1%
Target Allocation	5%
Private Credit 10y Ann Ret	8.1%
AUM	$13.9 bn
Private Credit AUM	$700 m

Private Credit Performance (Net)

Benchmark: Credit Suisse Leveraged Loan Index

- 1 Year: +8.4% (Underperformed benchmark)
- Since Inception (Nov 2011): +7.8% (Outperformed benchmark)
- Q1 2025 underperformance due to weaker borrower credit and spread tightening in opportunistic/direct lending.

Private Credit Allocation – Detail



Rationale & Success

Rationale

- Private market diversification
- Attractive risk-adjusted returns. Lower correlation with public markets

Success

- Invests cross regionally and cross strategy across specialised private credit managers
- External governance through Cliffwater and Verus
- Strict 5% deployment and allocation, has avoided potential overhype
- Willingness to address underperforming assets, (Summit Credit funds)

Arizona State Retirement Systems (ASRS)

Overview

Strategy

Overview
A public retirement system provides defined benefit pension plans for employees of the State

Philosophy
Seeking and capitalizing on disequilibria in public and private markets

Strategy
Long-term full funding, adequate liquidity and benchmark outperformance

Stats – June 24

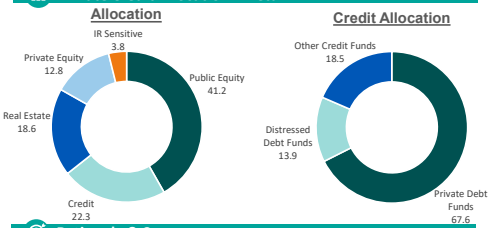
Quarter Return	2.47%
1 Year Return	9%
10 Year Ann Ret	7.6%
Private Credit Allocation	24%
Target Allocation	23%
Private Credit 10y Ann Ret	8.2%
AUM	$55 bn
Private Credit AUM	$12 bn

Private Credit Performance (Net)

Benchmark: Morningstar LSTA Leveraged Loan Index + 250 bps

- **1 Year: 9% (Underperformed benchmark)**
- **Since Inception: 8.8% (Outperformed benchmark)**
- **The asset class has consistently exceeded its outperformance goal of 1.5% over the benchmark for periods of 3, 5, 10, and inception-to-date**

Private Credit Allocation – Detail



Rationale & Success

Rationale

- **Opportunities for asset mispricing and manager excellence**
- **As a long-term investor with stable and predictable cash flow needs, ASRS leverages its strong liquidity position to invest in less liquid private markets, including credit**

Reason for Success:

- **Predictable pension obligations. Can strategically invest in illiquid private markets**
- **Actively reduces costs in its private market allocations by concentrating relationships**
- **Assets approximately fifty times the net amount required to fund annual benefit payments**

Case Studies

Regulatory concerns

Risk from Bank Linkages and Liquidity Reliance

- Banks provide financing to private credit funds through revolving credit. Fear it could pose a systemic liquidity risk to the banking sector.

Opacity and Limited Oversight

- Shift of lending from banks to less-regulated credit funds raises concerns about a lack of transparency and hidden risks

Retail Investor Protection & Valuation Challenges

- As private market products become more accessible to retail investors, regulators are focused on ensuring adequate disclosure regarding their illiquidity, complexity, and the less transparent valuation methodologies

Example: System-Wide Stress Tests for Non-Bank Financial Institutions EU

WHAT:

- European authorities planning stress tests to identify vulnerabilities in the financial system outside traditional banks, specifically targeting less regulated groups like private credit

WHY:

- Signifies a recognition that systemic risks have shifted beyond the traditional banking sector post-2008 financial crisis, and regulators are moving to increase scrutiny

Example: Australia Reviewing Public and Private Market Regulation

WHAT:

- Australian regulators focusing on how to ensure sufficient and appropriate disclosure as retail investors gain more access to private market products, addressing the challenges around valuing unlisted assets

WHY:

- Move towards potentially increased scrutiny and transparency requirements to protect retail investors.

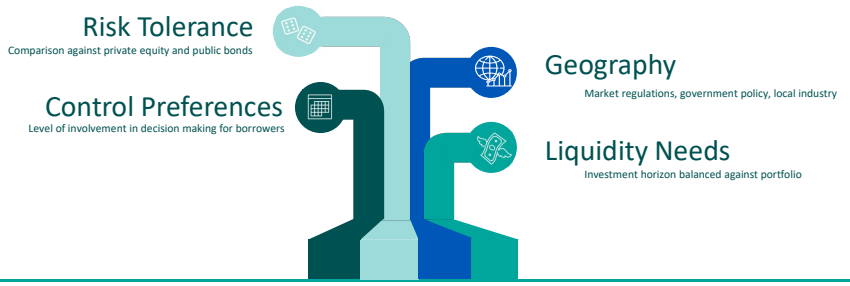
06

Recommendations

Recommendations

Should Institutional Investors Increase Their Asset Allocation?

KEY REASONS FOR	KEY REASONS AGAINST
▪ Higher yields closer to private equity	▪ Illiquidity and credit risk
▪ Some portfolio diversification	▪ Lack of transparency, difficulty assessing performance



Recommendations

Most Institutional Investors Should NOT Increase their Asset Allocation



BUT private credit is attractive to specialised investors with in-depth knowledge and the ability to oversee private credit funds effectively

Recommendations

Best Practices for Institutional Investors Moving Forward with Private Credit

Define a clear strategic rationale

- **ASRS** has a philosophy to address disequilibria in public and private markets
- **SERS** articulates core reason for investing in private credit: achieve attractive risk-adjusted returns and higher yield through illiquidity premium

Aim for long-term capital appreciation

- **Longer-term perspective** allows full realisation of the illiquidity premium, enabling funds to weather short-term turmoil
- Longer horizons mean lower need for riskier trades and higher leverage

Focus on governance, compliance, monitoring

- Asset owners must regulate themselves to ensure strong governance
- Consistent audits and external oversight may help ensure that processes are followed

Utilise strength to push for improvements

- All asset owners should focus on increased transparency
- Large investors, e.g. pension and insurance funds, should use asset strength to push for better fees, reporting and controls

07

Tools to Guide Decisions

Dashboard: Decision Tree and Forecasted Environments

Dashboard Functionality and Scenarios Covered

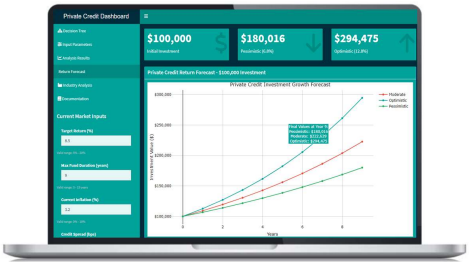
1. Investment Decision Framework Utilizes a 6-criteria model (returns, duration, inflation, spreads, liquidity, exit markets) to assess private credit opportunities and deliver data-driven recommendations.

2. Interactive Decision Tree Visualisation Dynamic network graph traces the complete investment decision path, featuring clickable nodes for clear, step-by-step logic.

3. Real-Time Market Analysis Adjust market inputs via sliders to receive immediate Invest/Caution/Avoid guidance, supported by confidence scores and detailed rationale.

4. Portfolio Return Forecasting Visualises projected returns across pessimistic (6.5%), moderate (8.8%), and optimistic (12%) scenarios with interactive growth charts.

5. Industry Analysis Tab Displays an interactive overview of private credit metrics (returns, risks, defaults) across 8 major US industries.



How to Use the Dashboard

- Refer to instructions in the *Appendix 1* on how to use it.
- Weblink of the dashboard: haaf4j-theone-andonly.shinyapps.io/pc_dashboard-jbs2025-mba35e/

QUESTIONS?

UNIVERSITY OF CAMBRIDGE
Judge Business School
TheCambridgeMBA

08

Appendices

Appendix 1 – Instructions on how to use the Dashboard (1/2)

Online Dashboard

Access the Dashboard:
Click on this link haaf4j-theone-andonly.shinyapps.io/pcdashboard-jbs2025-mba35e/ or copy paste it into the Internet Browser of your preference.

Web browsing recommendation:
The dashboard renders better in a desktop/laptop browser compared to a mobile browser.

Getting Started
Step 1: Input current market conditions in the left sidebar:
Target Return: Set desired annual return (5-20%)
Fund Duration: Maximum acceptable fund life (3-15 years)
Current Inflation: Latest YoY inflation rate (0-10%)
Credit Spread: Current spread over bonds in basis points (100-1000)
Liquidity Ratio: Your coverage ratio (5-50x annual needs)
IPO Decline: Recent IPO volume decline percentage (0-90%)

Important: Always ensure inputs fall within valid ranges before analysis. Invalid entries will prevent processing and show validation errors.

Appendix 1 – Instructions on how to use the Dashboard (2/2)

Online Dashboard

Step 2: Click **"Analyze Investment"** button to process inputs.

Tab Navigation Order
1. Decision Tree Tab
Review the interactive network visualization showing your decision pathway. Click and drag nodes to explore the logic flow from input criteria to final recommendation.
2. Input Parameters Tab
Verify threshold explanations and benchmark comparisons. Cross-reference your inputs against industry standards and historical data.
3. Analysis Results Tab
Check your investment decision (Invest/Caution/Avoid), confidence score, and criteria performance. Review the radar chart showing which thresholds were met and detailed reasoning.
4. Return Forecast Tab
Examine projected returns for three scenarios based on your inputs. Analyze growth trajectories for a $100,000 investment over your selected duration.
5. Industry Analysis Tab
Review industry table, compare returns/defaults in charts, analyze risk distribution, and reference sources for investment decisions.
6. Documentation Tab
Reference methodology explanations and academic sources supporting the decision framework.

Appendix 1: References (1/4)

1. **Federal Reserve (2024)** *Private Credit: Characteristics and Risks*, FEDS Notes, 23 February. Board of Governors of the Federal Reserve System. Available at: https://www.federalreserve.gov/econres/notes/feds-notes/private-credit-characteristics-and-risks-20240223.html (Accessed: 3 June 2025).
2. **Cambridge Associates (2024)** *The Private Credit Playbook: Understanding Opportunities for Family Investors*, Cambridge Associates, May. Available at: https://www.cambridgeassociates.com/insight/the-private-credit-playbook-understanding-opportunities-for-family-investors/ (Accessed: 13 May 2025).
3. **FTI Consulting (n.d.)** *Private Credit: Challenges & Opportunities*. FTI Consulting. Available at: https://www.fticonsulting.com/insights/articles/private-credit-challenges-opportunities (Accessed: 13 June 2025).
4. **S&P Global Ratings (2025)** 'Leveraged Finance: Loose Maintenance Covenants Permeate Private Credit', S&P Global Ratings, 24 April. Available at: https://www.spglobal.com/ratings/en/research/articles/250423-leveraged-finance-loose-maintenance-covenants-permeate-private-credit-13478611 (Accessed: 16 May 2025).
5. **Resonanz Capital (2025)** *Covenant-lite to Covenant Void: Navigating Private Credit Risk*, Resonanz Capital. Available at: https://resonanzcapital.com/insights/covenant-lite-to-covenant-void-navigating-private-credit-risk (Accessed: 13 June 2025).
6. **Wall Street Journal (2025)** 'Private Credit Has a Problem: Too Much Money', *The Wall Street Journal*. Available at: https://www.wsj.com/finance/investing/private-credit-has-a-problem-too-much-money-3f7604b5 (Accessed: 12 May 2025).
7. **MarketWatch (2024)** 'This Opaque, Lightly Regulated Corner of Wall Street Is Growing by Leaps and Bounds; Some Worry It Will Eventually Deliver a Shock to the Financial System', *MarketWatch*. Available at: https://www.marketwatch.com/story/this-opaque-lightly-regulated-corner-of-wall-street-is-growing-by-leaps-and-bounds-some-worry-itwill-eventually-deliver-a-shock-to-the-financial-system-347e0da7 (Accessed: 19 May 2025).
8. **International Monetary Fund (2025)** *Global Financial Stability Report, April 2025*, IMF. Available at: https://www.imf.org/en/Publications/GFSR/Issues/2025/04/22/global-financial-stability-report-april-2025 (Accessed: 25 May 2025).
9. **Bank of England (2024)** 'Lee Foulger: Keynote Address at the DealCatalyst AFME European Direct Lending', speech, 2024. Available at: https://www.bankofengland.co.uk/speech/2024/january/lee-foulger-keynote-address-at-the-dealcatalyst-afme-european-direct-lending (Accessed: 28 May 2025).
10. **Financial Times (n.d.)** 'Banks' links to private credit could pose systemic risk, says Boston Fed', *Financial Times*. Available at: https://www.ft.com/content/01f36959-2813-4633-bb68-32287c01fdca (Accessed: 28 May 2025).

Appendix 1: References (2/4)

11. **Cliffwater LLC** (2023) *No fee compression in private debt*. Available at: https://www.cliffwater.com/ResourceArticle/no-fee-compression-in-private-debt?docId=26541 (Accessed: 14 June 2025).

12. **Federal Reserve Bank of Boston (2025)** 'Could the Growth of Private Credit Pose a Risk to Financial System Stability?', *Current Policy Perspectives*, April. Available at: https://www.bostonfed.org/publications/current-policy-perspectives/2025/could-the-growth-of-private-credit-pose-a-risk-to-financial-system-stability (Accessed: 19 May 2025).

13. **Oliver Wyman (2024)** *Unintended Consequences of the Basel Endgame*, January. Available at: https://www.oliverwyman.com/our-expertise/insights/2024/jan/unintended-consequences-of-the-basel-endgame.html (Accessed: 22 May 2025).

14. **GCM Grosvenor (2025)** 'In Private Credit, Access May Be the New Alpha', GCM Grosvenor, 19 May. Available at: https://www.gcmgrosvenor.com/2025/05/19/in-private-credit-access-may-be-the-new-alpha/ (Accessed: 7 June 2025).

15. **BlackRock (2025)** 'Sourcing Private Credit', BlackRock. Available at: https://www.blackrock.com/us/financial-professionals/insights/sourcing-private-credit (Accessed: 30 May 2025).

16. **Cambridge Associates (2024)** *A Framework for Benchmarking*, Cambridge Associates. Available at: https://www.cambridgeassociates.com/insight/a-framework-for-benchmarking/ (Accessed: 1 June 2025).

17. **S&P Global Market Intelligence (2025)** 'Best-Practice Risk Management for Private Credit', S&P Global Market Intelligence. Available at: https://www.spglobal.com/market-intelligence/en/news-insights/research/best-practice-risk-management-for-private-credit (Accessed: 2 June 2025).

18. **UBS Asset Management (2025)** *Diversifying Private Credit*, UBS Global Asset Management. Available at: https://www.ubs.com/global/en/assetmanagement/insights/asset-class-perspectives/private-credit/articles/diversifying-private-credit.html (Accessed: 10 May 2025).

19. **Rothschild & Co (2022)** 'Private Debt Risks Under the Microscope', Rothschild & Co, October. Available at: https://www.rothschildandco.com/en/newsroom/insights/2022/10/en-wm-private-debt-risks-under-the-microscope/ (Accessed: 5 June 2025).

20. **Worthington, K.B.,** Cho, M., Bernstein, A., Daleiden, M., Wedel, M., Shane, R. and Denham, A.J., (2024). *Private Credit – A Primer: First Edition – What, Why and How Big*. North America Equity Research, **J.P. Morgan.** Available at: https://www.proquest.com/jpmorgan/docview/3075640946/fulltextPDF/CBFB887CFC074DDCPQ/1?accountid=9851&sourcetype=Reports (Accessed: 13 June 2025).

Appendix 1: References (3/4)

21. **Reuters.** (2025) *Private credit's mass appeal creates new risks*. 12 May. Available at: https://www.reuters.com/breakingviews/private-credits-mass-appeal-creates-new-risks-2025-05-12/ (Accessed: 14 June 2025).

22. **Sacramento County Employees' Retirement System. (2025)** *Total Fund Investment Performance Review Report - First Quarter 2025*. Sacramento, CA: Sacramento County Employees' Retirement System.

23. **Arizona State Retirement System. (2024)** *2024 Annual Comprehensive Financial Report*. Phoenix, AZ: Arizona State Retirement System.

24. **Gara, A. (2023)** *Bank lending to private credit industry may pose systemic risks, Boston Fed warns*, *Financial Times*, 1 November. Available at: https://www.ft.com/content/01f36959-2813-4633-bb68-32287c01fdca (Accessed: 31 May 2025).

25. **Noonan, L. and Masters, B. (2023)** *EU financial watchdogs plan first stress test of non-bank sector*, *Financial Times*, 1 November. Available at: https://www.ft.com/content/186719a6-3e67-422a-bc55-4cba5ad7612d (Accessed: 31 May 2025).

26. **FNN. (2024)** *Private Markets Set to Boom, Regulators Remain Cautious*, *Finance News Network*, 2 January. Available at: https://www.finnewsnetwork.com.au/archives/finance_news_network1782207.html (Accessed: 31 May 2025).

27. **Dulhunty, S., Richards, C., Kelly, N. and McGhie, J. (2023)** *ASIC releases its discussion paper on public and private market regulation*, *Ashurst*, 1 December. Available at: https://www.ashurst.com/en/insights/asic-releases-its-discussion-paper-on-public-and-private-market-regulation/ (Accessed: 31 May 2025).

28. **McKinsey & Company (2025).** *Global Private Markets Report 2025: Braced for shifting weather*. Available at: https://www.mckinsey.com/industries/private-capital/our-insights/global-private-markets-report (Accessed: 11 June 2025).

29. **Bloomberg (2024).** *Era of Private Credit Returns Beating Private Equity Is Nearing an End*, November 7. Available at: https://www.bloomberg.com/news/articles/2024-11-07/era-of-direct-lender-returns-beating-private-equity-nears-end (Accessed: 10 June 2025).

30. Morgan Stanley (2024). Private Credit Market: 2024 Outlook & Opportunities. Available at: https://www.morganstanley.com/ideas/private-credit-outlook-considerations (Accessed: 11 June 2025).

Appendix 1: References (4/4)

31. **Northleaf Capital Partners (2024).** *Private Credit Market Update: Q4-2024*. Available at: https://www.northleafcapital.com/news/private-credit-market-update-q4-2024 (Accessed: 8 June 2025).

32. **Adams Street Partners (2024).** *Private Credit vs. Private Equity: Analyzing Risk and Return, April 16*. Available at: https://www.adamsstreetpartners.com/insights/will-private-credit-returns-surpass-private-equity/ (Accessed: 10 June 2025).

33. **Bank for International Settlements (2025).** *The global drivers of private credit, BIS Quarterly Review, February*. Available at: https://www.bis.org/publ/qtrpdf/r_qt2503b.htm (Accessed: 8 June 2025).

34. **International Monetary Fund (2024).** *Global Financial Stability Report, Chapter 2, April*. Available at: https://www.imf.org/-/media/Files/Publications/GFSR/2024/April/English/ch2.ashx (Accessed: 11 June 2025).

34. **Bloomberg (2024).** *Private Credit's Default Recovery Rates Are Worse Than Its Biggest Rival, March 21*. Available at: https://www.bloomberg.com/news/articles/2024-03-21/private-credit-s-default-recovery-rates-are-worse-than-its-biggest-rival (Accessed: 9 June 2025).

35. **Bank for International Settlements (2025).** *The global drivers of private credit, BIS Quarterly Review*, February. Available at: https://www.bis.org/publ/qtrpdf/r_qt2503b.htm (Accessed: 10 June 2025).

36. **Man Group (2024).** *Healthcare Private Credit's Long-Term Prognosis Remains Robust, Man Institute*. Available at: https://www.man.com/maninstitute/healthcare-credits-long-term-prognosis (Accessed: 10 June 2025).

37. **Proskauer Rose LLP (2024).** *Proskauer Q3 Private Credit Default Index Decreases to 1.95%*, October 24. Available at: https://www.proskauer.com/report/proskauer-q3-private-credit-default-index-decreases-to-195 (Accessed: 10 June 2025).

38. **S&P Global Ratings (2024).** *Rising Global Defaults Will Test Private Credit Funds In 2024*. Available at: https://www.spglobal.com/ratings/en/research/articles/240501-rising-global-defaults-will -test-private-credit-funds-in-2024-13089868 (Accessed: 11 June 2025).

39. **Credit Benchmark (2025).** *2024 Default Risk Outlook: US Industries*, March 5. Available at: https://www.creditbenchmark.com/white-papers/2024-default-risk-outlook-us-industries/ (Accessed: 8 June 2025).

40. **Bloomberg (2024).** *Databricks Inks $5 Billion of Private Credit, Bank Funding*, January 13. Available at: https://www.bloomberg.com/news/articles/2025-01-13/databricks-inks-5-billion-financing-from-private-credit-banks (Accessed: 9 June 2025).